

KITCHEN THREE

METHOD CREATES DISTINCTION

GUIDE 04 · OPERATIONS

Menu Engineering — *from cost to profit*

How to read a menu like a P&L: the four-quadrant matrix, the math behind every dish, the design choices that move the average ticket, and the 90-day review cadence that compounds.

THE PREMISE

Your menu is your *P&L*, in eight pages or less.

Every dish on your menu has two numbers — what it costs to make and what it earns when sold. Menu engineering is the discipline of knowing both numbers for every dish, and rearranging the menu to favour the dishes where the two numbers serve the business best.

Most kitchens in Egypt run on instinct. The chef picks the menu, the owner agrees, prices are set by looking at what the competitor down the street charges, and the result is a menu that breaks even on the dishes the chef likes and bleeds quietly on the ones the customer orders most.

Menu engineering is the antidote. It is not glamorous, and it is not finished in a weekend. But it is the single highest-leverage operational discipline in food — the only practice that compounds margin every month with no extra capital, no new staff, and no menu addition.

This guide gives you the four-quadrant framework, the math, the design moves, and the review cadence. The methodology applies whether you run a single café or a multi-site cloud-kitchen operation.

THE COMPOUNDING EFFECT

A four-point gross-margin lift on an operation doing 500,000 EGP / month in revenue is 20,000 EGP / month — 240,000 EGP / year. Most kitchens leave that money on the table because no one ever sat down and did the math, dish by dish.

The four *quadrants*.

Plot every dish on two axes: profitability per unit (gross margin in EGP, not %) and popularity (units sold per period). You get four categories. Each gets a different treatment.

CATEGORY	PROFITABLE?	POPULAR?	TREATMENT
Stars	High	High	Protect them. Hold the recipe, hold the supplier, hold the price unless input costs force a move. Feature them on every channel — printed menu, delivery app, social.
Plowhorses	Low	High	Customers love them; they don't earn. Three plays: re-engineer the recipe to lift margin, raise the price by 5–10% and watch the volume, or reposition them as supporting dishes (sides, add-ons) rather than centerpieces.
Puzzles	High	Low	Profitable when ordered, but nobody orders. Solve the marketing problem. Better name, better photo, better description, better menu placement. If still flat after 30 days of repositioning — they become Dogs.
Dogs	Low	Low	Delete them. They occupy menu space, slow inventory turnover, complicate purchasing, and offer the customer nothing your other dishes don't already deliver. The hardest decision in menu engineering is killing dishes; the most common regret is not killing them sooner.

PROFITABILITY IN EGP, NOT IN %

A common mistake — using food-cost % as the profitability axis. Don't. A 65% margin dish at 80 EGP makes 52 EGP per serve. A 70% margin dish at 40 EGP makes 28 EGP per serve. The first one is more profitable per serve, even though its percentage is worse. What matters operationally is contribution per dish, in pounds, not in percentages.

Cost *per dish*.

Before you can engineer a menu, you need an accurate plate cost for every item. Most operators run on estimates. Engineering needs measurements.

1. Standardised recipes

Every dish needs a written recipe with measured quantities, in grams or millilitres, not "a handful" or "to taste." This is not for the chef — the chef knows what to do. It's for the math.

2. Ingredient costs at receiving

Use the cost at receiving, not the catalogue price. Factor in yield loss: a 1kg chicken is not 1kg of trimmed meat. Beef shoulder trims to roughly 78%. Fish trims to 60–65%. Lettuce trims to 75%. Update yields quarterly — suppliers change quality, and your yield changes with them.

3. The plate-cost formula

Plate cost = sum of (ingredient quantity × cost per unit × adjusted yield factor) for every ingredient in the dish.

Food cost % = plate cost ÷ menu price × 100

Contribution margin = menu price – plate cost (in EGP, per serve)

4. Target food cost %

CATEGORY	TARGET FOOD COST %
Casual restaurants	28–32%
Cafés (food)	25–30%
Cafés (beverage)	12–20%
Cloud kitchens	28–33%
Fine dining	30–38%
QSR / fast casual	26–30%
Bakeries	22–28%

These are operating targets for healthy businesses in Egypt at current input prices. Individual dishes will vary; what matters is the menu's blended food cost matching the target.

Menu psychology — *how the customer reads.*

The customer is not reading the menu the way you intended. Understand the actual reading pattern and you can guide the order without changing a single price.

1. The eye path

On a single-fold printed menu, the eye lands first on the upper right (about 40% of attention), then top-left, then center. Place your Stars in the upper right. Place Puzzles in the spot you most want to convert. Leave Dogs in the dead zones — bottom-left, bottom-center.

On a multi-page menu, the same pattern repeats per page, plus a "primacy and recency" bonus: customers remember the first item in each section and the last more strongly than the middle. Position accordingly.

2. Price formatting

- **Drop the currency sign** when possible (or use a small grey one). Customers focus on the number; the prominent currency sign triggers spending-resistance.
- **Avoid the trailing dotted line.** The dot leader from item name to price ("Mansaf 220") is a price-comparison shortcut. Without dots, customers compare features more than prices.
- **Avoid ".99" pricing** in restaurants — it cheapens the perceived quality. Round numbers (240 EGP) read more premium than 239 EGP in dine-in. The opposite is true in QSR and delivery, where 239 outperforms 240 by a small but real margin.

3. Anchoring and decoy

Place one deliberately high-priced item (a "premium anchor") at the top of each category. Few customers order it — that's not the point. Its job is to make the next-down item feel reasonable. A 480 EGP wagyu makes a 290 EGP filet feel sensible. Without the anchor, the same filet feels expensive.

Use a decoy — an inferior third option — to push customers toward your preferred middle option. Three sizes: 9oz at 90, 12oz at 130, 16oz at 145. The 12oz is the target; the 16oz makes it feel like the smart purchase.

4. Description length

Dishes with longer, more sensory descriptions sell 25–30% better than identical dishes with short descriptions. Don't write a paragraph — one well-chosen sensory adjective and one origin or technique reference is enough. "Slow-braised lamb shoulder, Aleppo spice, semolina pearls" beats "Lamb with rice."

The menu is the only piece of marketing material every single paying customer reads. Most operators design it on the back of a napkin and the result is a four-page document that took three hours and earns nothing.

— KITCHEN THREE OBSERVATION

Pricing in *Egyptian pounds*.

Three realities specific to the Egyptian market that shape pricing strategy.

1. Input-cost volatility

Imported inputs in Egypt have moved sharply with the pound since 2022. Olive oil, butter, beef, dairy, premium produce, and most specialty ingredients are price-volatile. Build your menu with a mix of import-exposed and locally-sourced inputs so a sudden FX move doesn't break the whole menu's margin at once.

Review prices monthly when input volatility is high. Customers tolerate small incremental price moves; they react badly to one large jump after six months of holding.

2. The delivery vs dine-in delta

The aggregators (Talabat, Elmenus, Mrsool) take 25–35% commission on every order. If you price identically across channels, your delivery margin collapses. Two strategies:

- **Differential pricing** — openly higher prices on the apps. Honest, simple, gets pushback from price-sensitive customers. Most professional operators do this.
- **Delivery-tuned menu** — a slightly different menu on the apps emphasising higher-margin dishes that travel well. Slightly more work; better long-term margin protection.

3. Price tiers and perceived value

Egyptian customers in upscale markets read three distinct price tiers per category:

- The accessible everyday tier — 60–120 EGP for a main, 30–60 EGP for a coffee/beverage
- The aspirational casual tier — 180–320 EGP for a main, 70–110 EGP for a specialty beverage
- The fine-dining tier — 380+ EGP for a main

Within each tier, customers compare you mostly to direct tier-peers. Moving up or down a tier requires a corresponding lift in concept, environment, plating, and service — not just a price change. The most common failure mode is a price set in tier 2 with a delivery experience that feels tier 1.

A NOTE ON INFLATION

In a high-inflation environment, hold-the-line pricing is more dangerous than incremental moves. If your menu prices haven't moved in 12 months while input costs rose 15%, you've quietly given customers a 15% real discount on your business's expense.

The 90-day menu *review*.

Menu engineering done once is a project. Done every 90 days, it is a competitive advantage.

Day 1. Pull the data

- ☐ Last 90 days of sales by dish — units sold and revenue
- ☐ Current plate cost for every dish (re-cost if prices have moved)
- ☐ Calculate contribution margin per dish, in EGP per serve
- ☐ Calculate units sold as % of total covers

Day 2. Plot the quadrants

- ☐ For each dish: profitability (margin in EGP) on Y-axis, popularity (% of covers) on X-axis
- ☐ Median of each axis becomes the dividing line
- ☐ Tag each dish: Star, Plowhorse, Puzzle, or Dog

Days 3–7. Decide and execute

- ☐ Stars — confirm protection: recipe, supplier, current price
- ☐ Plowhorses — pick one of: re-engineer recipe, raise price 5–10%, reposition
- ☐ Puzzles — reposition on menu, rewrite description, photograph for delivery apps
- ☐ Dogs — confirm removal, communicate to team, brief soft-introduction of replacement if needed

Day 30. Measure

- ☐ 30-day comparison: blended food cost % vs. previous 30 days
- ☐ Sales mix changes — did Plowhorse re-pricing shift orders?
- ☐ Customer complaints — any negative feedback on removed dishes or price increases?
- ☐ Note what worked and what didn't — this becomes the input for day 91

Day 90. Cycle again

Pull the next 90 days of data. Replot. Repeat. The compounding starts in cycle 2 — by cycle 4, the menu is bearing almost no Dogs, Plowhorses are paying their way, Puzzles are being read, and Stars are doing the heavy lifting they were always supposed to do.

Ready to *build*?

Kitchen Three has menu-engineered for restaurants, cafés, cloud kitchens, school cafeterias, hotel F&B departments, and corporate caterers across Egypt. A typical engagement lifts gross margin 4–8 points inside 90 days. Talk to us about a diagnostic on your current menu.

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